

Introduction to the Research Topic and Its Domains

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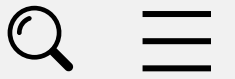
1.1 DEFINITION AND CONCEPT OF RESILIENCE

1.1 Definition and Concept of Resilience

The first chapter of this book is a general introduction to the topic of resilience, thus developing the necessary background to the book. This chapter overviews the relevant terms and explores resilience's meaning, concept, and scope. It is essential to understand that there is no single definition of resilience or one right way to pursue it. The chapter is designed to help readers think strategically rather than provide specific solutions to suit particular situations. The chapter considers, in a concise way, the whole concept of resilience and its importance for SMEs and the economy/society in general.

Resilience is a concept that has been studied in many fields, including psychology, ecology, engineering, and economics. Despite differences in specific applications, there seems to be agreement that resilience generally refers to the ability of a system or person to cope with and recover from adversity. The following sections explore different definitions and conceptualizations of resilience in different disciplines.

Psychological resilience



“the ability of an individual to cope with and adapt to adversity or stress.”

Ecological Resilience

“the ability of an ecosystem to maintain its structure and function in the face of disturbance or change.”

Engineering Resilience

“the ability of a system to withstand and recover from shock or failure”

Economic Resilience

“the ability of an economy to withstand and recover from shocks or disruptions.”

1.2 INDIVIDUAL VERSUS ORGANIZATIONAL RESILIENCE

Individual Resilience

Individual resilience refers to the ability of an individual to cope with and recover from adversity or stress (psychological resilience). It is often studied in psychology and can be influenced by various individual and environmental factors. Individual resilience is not a fixed trait but a dynamic process that can change over time (Luthans et al., 2006; Bonanno & Mancini, 2012; Masten, 2013). It can be enhanced through various strategies, including developing coping skills, social support, and cultivating positive emotions and attitudes (Coutu, 2002). Research on individual resilience has identified several factors that can contribute to resilience. These include:

Factors that contribute personal resilience

Positive
attitude

Emotional
regulation

Social
Support

Self-
efficacy

Flexibility

A sense of
purpose

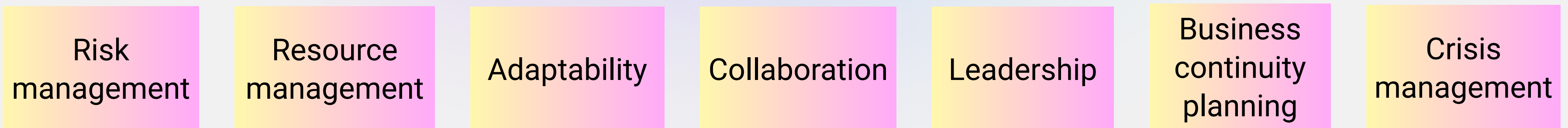
1.2 INDIVIDUAL VERSUS ORGANIZATIONAL RESILIENCE

Organizational Resilience

Organizational resilience refers to an organization's ability to **withstand and recover from a crisis** (Välikangas & Hamel, 2003). Resilient organizations can adapt to changing circumstances, maintain business continuity, and operate effectively in the face of adversity (Weick & Sutcliffe, 2015).

As with individual resilience, research on organizational resilience has also identified several key factors that can contribute to resilience at the organizational level (Conz & Magnani, 2020; Williams et al., 2017; Bhamra & Dani, 2011; Henschel & Lantzsch, 2022; Durst et al., 2022). These include the following:

Factors that contribute to organizational resilience:



1.3 THE CURRENT STATE OF RESEARCH ON RESILIENCE

Factors that enhance resilience from other scholars:

**Conz and
Magnani (2020)**

Resilience = dynamic process, proactive and reactive strategies, organizational culture, transformational leadership, and strategy

**Bhamra and Dani
(2011)**

Ability to cope with unexpected events and disruptions, flexibility, redundancy, and collaboration.

**Williams et al.
(2017)**

crisis management and resilience should be considered together

Korhonen et al.

higher sales growth and profitability

1.3 THE CURRENT STATE OF RESEARCH ON RESILIENCE

Resilience strategies of SME:

Conz (2016), Hong et al. (2012), and Zutshi et al. (2022)

Diversification

- Expand products, markets, and customers
- reduce dependence on a single source

Collaboration

- Partner with firms, suppliers, institutions
- share resources and knowledge

Innovation

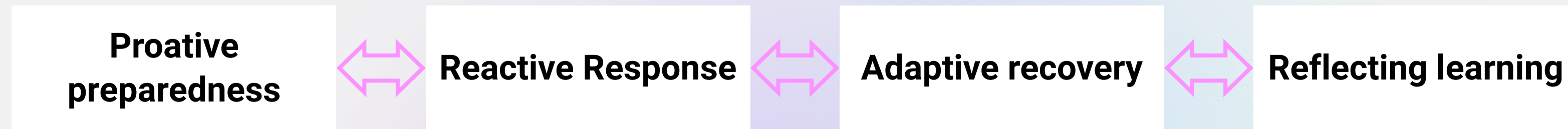
- Invest in R&D and new technologies
- improve efficiency and competitiveness

Responsiveness

- Quickly adapt to environmental changes
- respond to market, regulation, and crises

1.4 FUSION OF CRISIS MANAGEMENT & RESILIENCE

Conceptual model for intergrating crisis management and resilience (*Williams et al., 2017*)



Each stage builds on the previous one.

Research Implications (*Pathak et al., 2023; Conz & Magnani, 2020*)

- Integration improves organizational response to adversity
- Future research should focus on:

→ practical tools for SMEs

1.5 THE DARK SIDE OF THE RESILIENCE CONCEPT

Key Idea

- Resilience is not always positive
- Excessive resilience may create negative outcomes

Negative effects of resilience:

Complacency

- over confidence
- reduced vigilance

Rigidity & Inflexibility

- resistance to change

Stifled innovation

- lack of diversity

Overreliance on existing systems

- vulnerability to unexpected shocks

Vogus & Sutcliffe, 2007
Shepherd, 2003

Williams & Shepherd, 2016

1.6 CONCLUSION

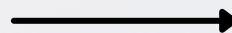
Key Takeaways

- The factors that build individual & organizational resilience
- Four SME strategies identified by Coz (2016): diversification, collaboration, innovation, responsiveness

Future Research Recommendation

- Future work should go quantitative, address systemic inequalities, examine the dark side of resilience

The empirical evidence on what resilience strategies SMEs apply and are successful is scarce. The few identified literature sources mostly use qualitative research methods such as focus groups (Branicki et al., 2018), in-depth research interviews, single case studies (Hong et al., 2012), and longitudinal case studies (Pathak et al., 2023).



Thank You